The Institute of Chartered Accountants of India

Code:	**FN2AF137031**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**54**


GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Examination

Group No. 1 Paper No. 2

Subject Advanced Financial Management

Number of Answer Books used : Main + additional sheets

Date Seal 07 JAN 2026

For use by ICAI only

137031

PUT THE SEAL WITH IN THE CIRCLE THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA JANUARY 2026

Paper Code: D A W 1

MCQ Booklet Serial No.: 4 1 3 3 4 8 1

Paper No.: 2

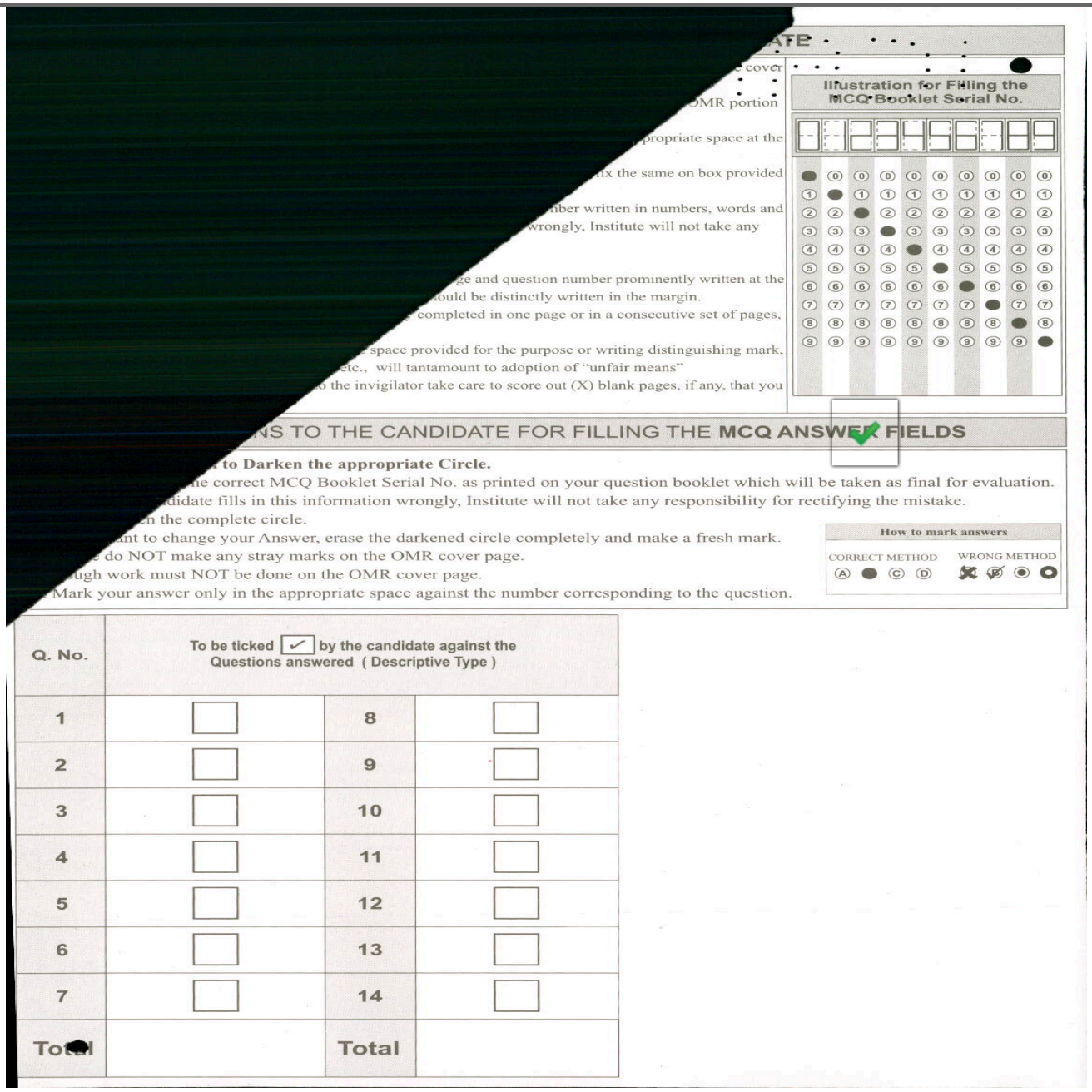
Level of Exam: Final (Foundation ① Intermediate ② Final ●)

MCQ Answers

1	A	B	C	●	11	A	B	C	●	21	A	B	C	D
2	●	B	C	D	12	●	B	C	D	22	A	B	C	D
3	A	●	C	D	13	A	●	C	D	23	A	B	C	D
4	A	●	C	D	14	A	●	C	D	24	A	B	C	D
5	●	B	C	D	15	A	●	C	D	25	A	B	C	D
6	A	B	C	●	16	A	B	C	D	26	A	B	C	D
7	A	B	●	D	17	A	B	C	D	27	A	B	C	D
8	A	●	C	D	18	A	B	C	D	28	A	B	C	D
9	A	B	C	●	19	A	B	C	D	29	A	B	C	D
10	A	●	C	D	20	A	B	C	D	30	A	B	C	D

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ATE

cover

OMR portion

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etc., will tantamount to adoption of "unfair means"

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Illustration for Filling the MCQ Booklet Serial No.

NS TO THE CANDIDATE FOR FILLING THE MCQ ANSWER FIELDS

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nt to change your Answer, erase the darkened circle completely and make a fresh mark.

do NOT make any stray marks on the OMR cover page.

ugh work must NOT be done on the OMR cover page.

Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Ⓐ ● Ⓒ Ⓓ

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)			
1		8		
2		9		
3		10		
4		11		
5		12		
6		13		
7		14		
Total		Total		

03

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Que 1 (a)

Investment Amount = 2500000
Average annual yield = 16.8%.

∴ Annual Profit = 2500000 × 16.8%.
= ₹420000

Investment Period = 6 years

Holding Period profit = 420000 × 6
= ₹2520000

Value of Investment as on 31st March 2025 = 2500000 + 2520000
= ₹5020000

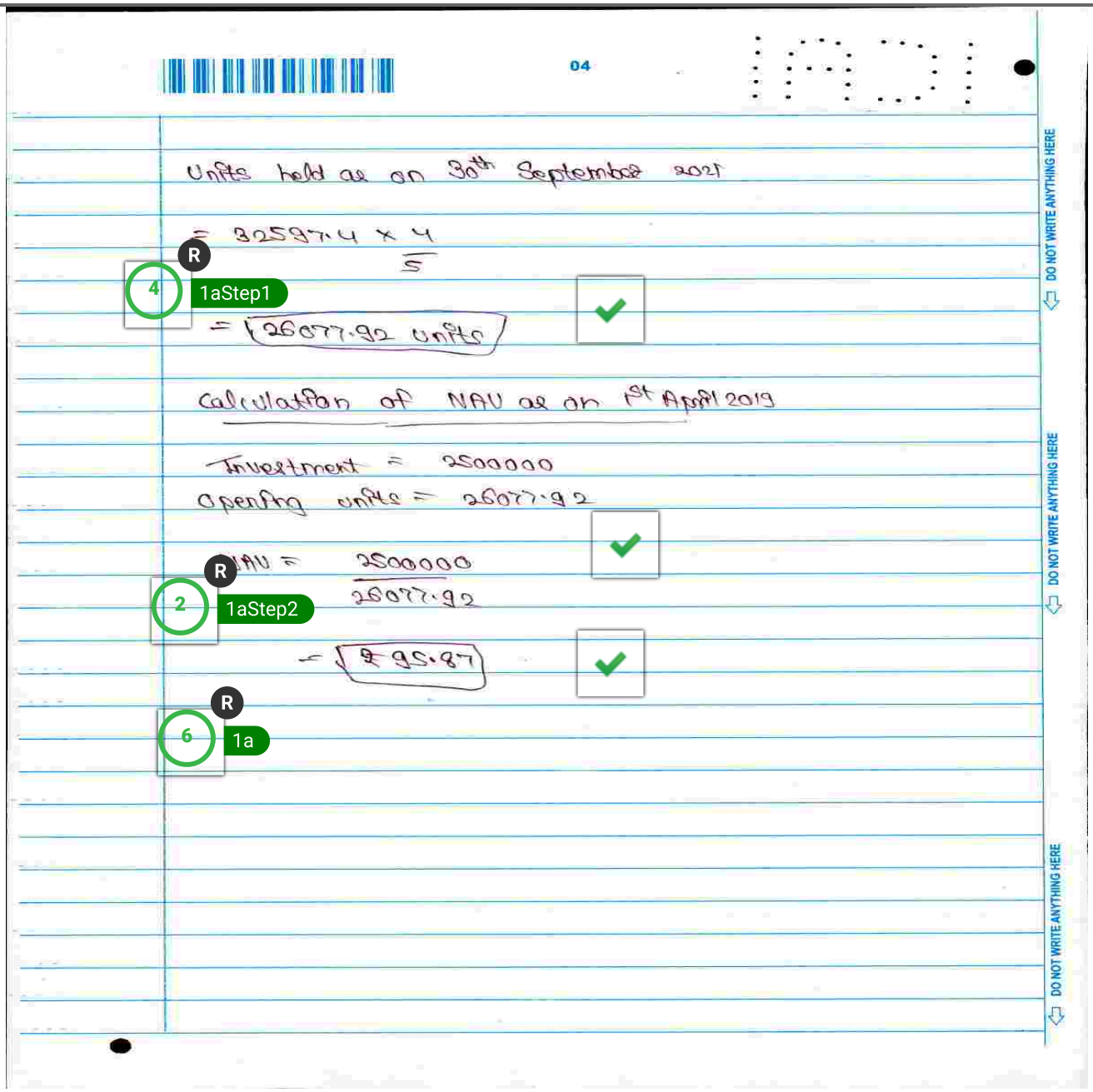
No. of units held as on 31st March 2025 = 5020000 / 110
= 45636.36 units

Calculation of units held as on 1st April 2019

Units as on 30th September 2023 = 45636.36 × 5/7
= 32597.4 units

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05

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Que 1(b)

(i) No. of shares held by promoter = 126 lakh shares
Promoter holding = 84%.

∴ Total no. of shares = $\frac{126}{84\%}$

= 150 lakh shares

Market price per share × No. of shares = Market capitalisation
24 lakh
x × = 3840 lakh
(150-126)

Market price per share = ₹160

Earning per share = $\frac{₹\ 960000000}{150000000}$ = ₹6.4

P/E ratio = $\frac{\text{Current market price}}{\text{Earning per share}}$

= $\frac{160}{6.4}$

= ₹ 25

06

(ii) Bonus ratio

No. of shares for reducing promoter holding to 75%.

$= \frac{126 \text{ lakh}}{75\%}$

$= 168$ lakh shares

No. of shares to be increased
$= 168 - 150$
$= 18$ lakh shares

Bonus ratio $= \frac{18}{24}$

$= 0.75$ share for each share held ✔

(iii) Market price per share after bonus

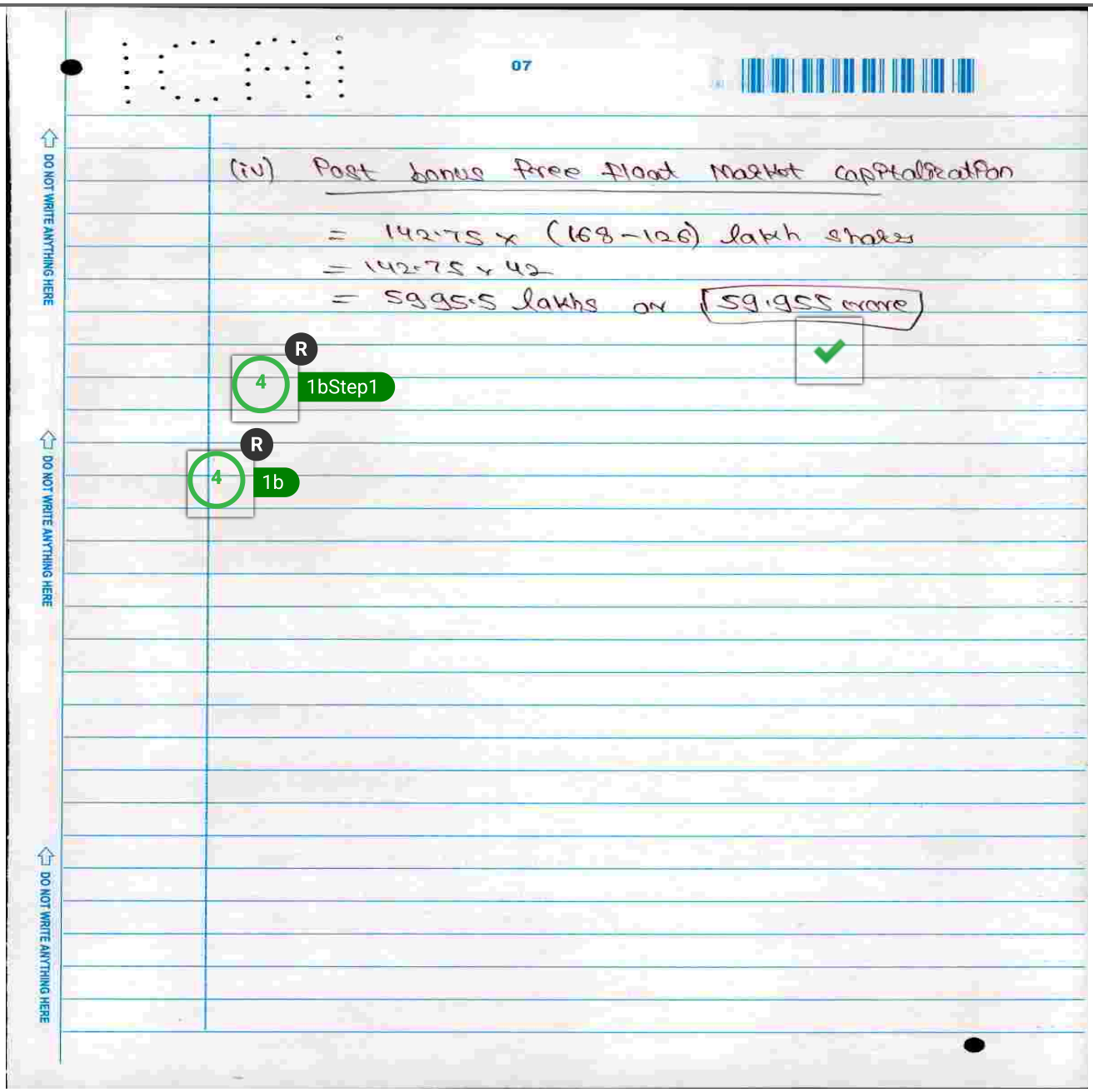
Earning per share (Revised) $= \frac{96000000}{168000000}$

$= ₹ 5.71$

Market price $= 5.71 \times 25$

$= ₹ 142.75$ ✔

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07
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(iv) Post bonus free float Market capitalization
= 142.75 x (168-120) lakh shares
= 142.75 x 42
= 5995.5 lakhs or 59.955 crore
R
4
1bStep1
R
4
1b

08

Que 1c

(i) Net Profit / loss in following scenarios

- Share price remains unchanged at ₹ 550

Premium paid = (42+8) x150
= 7500

Payoff = 0
Loss = 7500 ✔

- Share price declines to 480

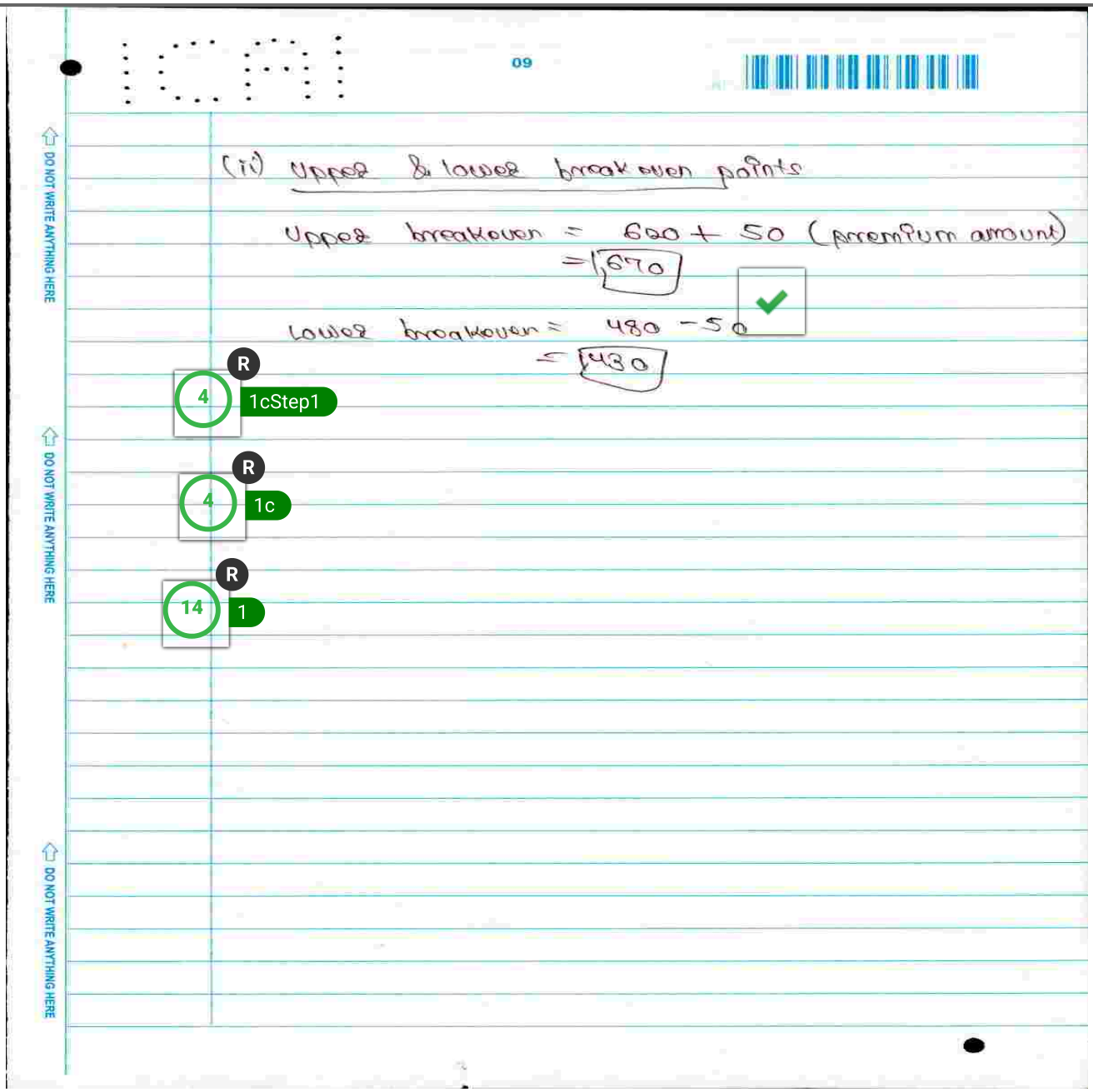
Premium paid = 7500
Call payoff = 0
Put option payoff = (480-880) x150
= 15000

Profit = 15000 - 7500
= 7500 ✔

- Share price appreciate to 680

Premium paid = 7500
Call payoff = (880-620) x150
= 9000
Put payoff = 0
Profit = 1500 ✔

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09
(ii) Upper & lower break even points
Upper breakeven = 600 + 50 (Premium amount)
= 1,670
Lower breakeven = 480 - 50
= 430
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
R
4
1cStep1
R
4
1c
R
14
1

10

Ques (b)

Number of GDR to be issued = Issue size / Price per GDR

Issue size = Loan amount / (1 − Floatation cost)

= $14.775 million / (147.75 lakhs) $ / 98.5%

= $ 150 lakhs ✔

Price per GDR = (500 × 7) × 0.93 / 81.3750

= $ 40 ✔

No. of GDR = $150 lakh / $40 ✔

= 3.75 lakh number of GDR is required to be issued

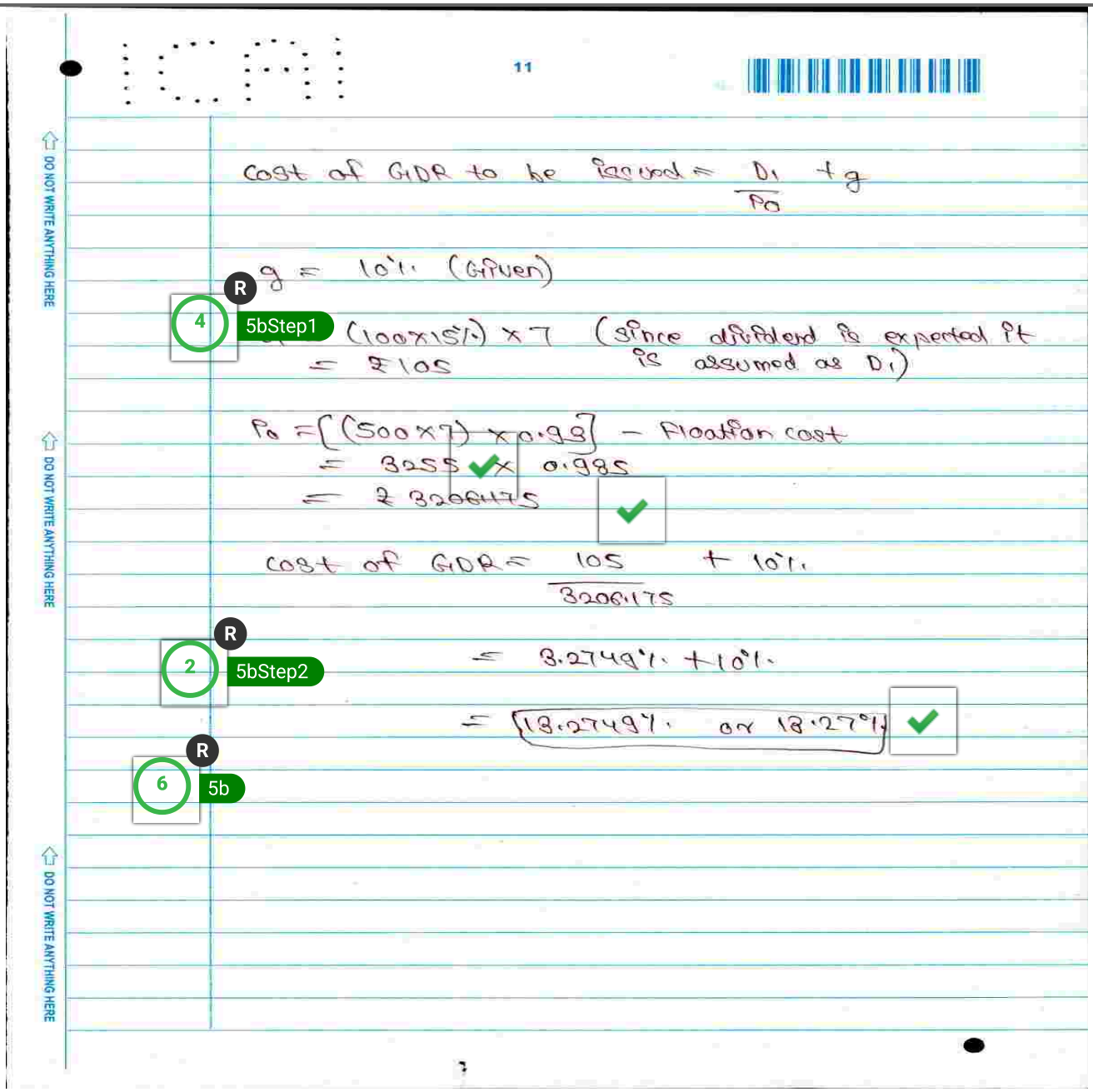
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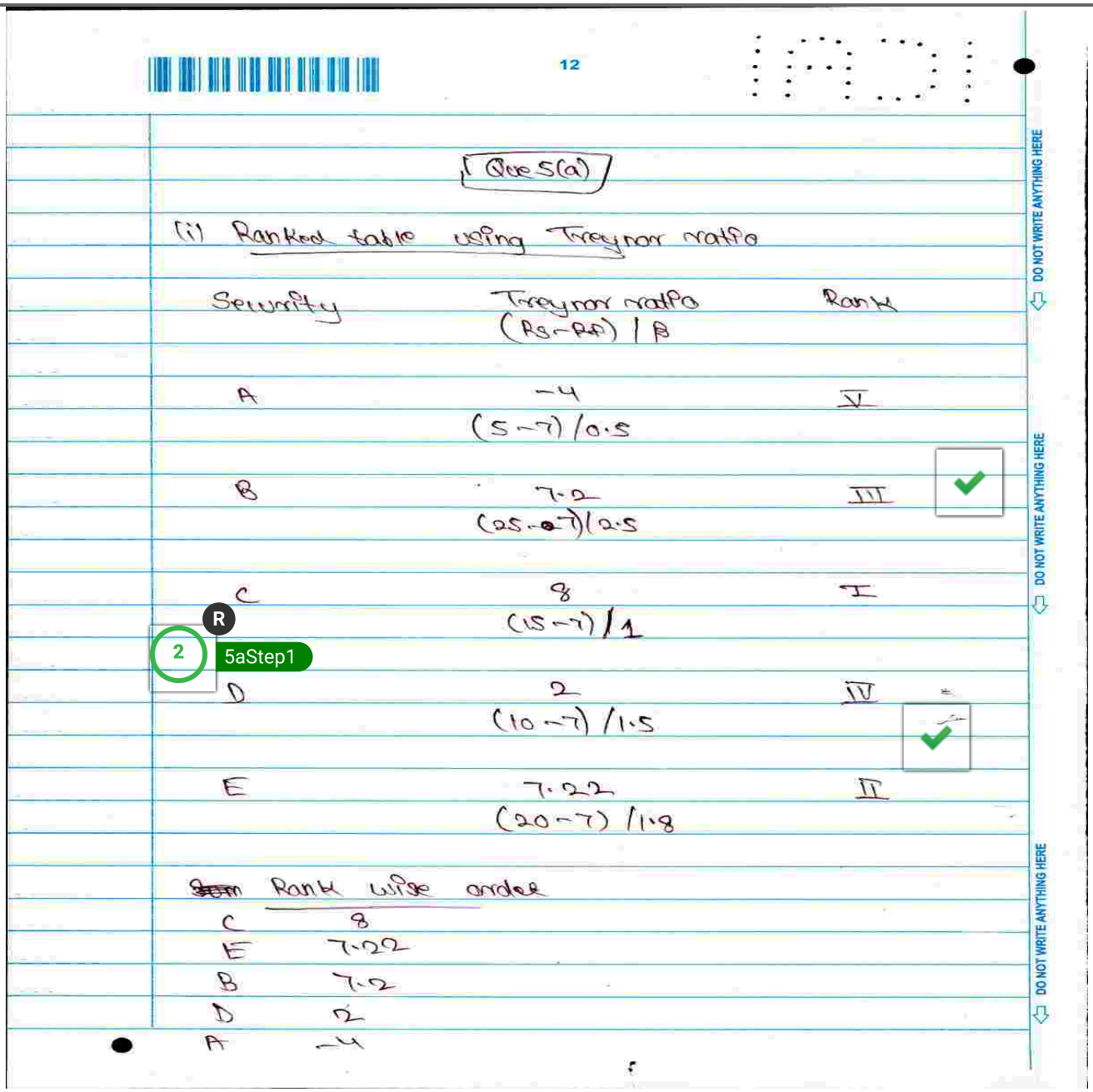
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12

Ques 5(a)

(i) Ranked table using Treynor ratio

Security	Treynor ratio $(R_s - R_f)/\beta$	Rank
A	$(5-7)/0.5 = -4$	V
B	$(25-7)/2.5 = 7.2$	III
C	$(15-7)/1 = 8$	I
D	$(10-7)/1.5 = 2$	IV
E	$(20-7)/1.8 = 7.22$	II

Rank wise order

C	8
E	7.22
B	7.2
D	2
A	-4

R 2 5aStep1

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13

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(ii) Calculation of cut off point

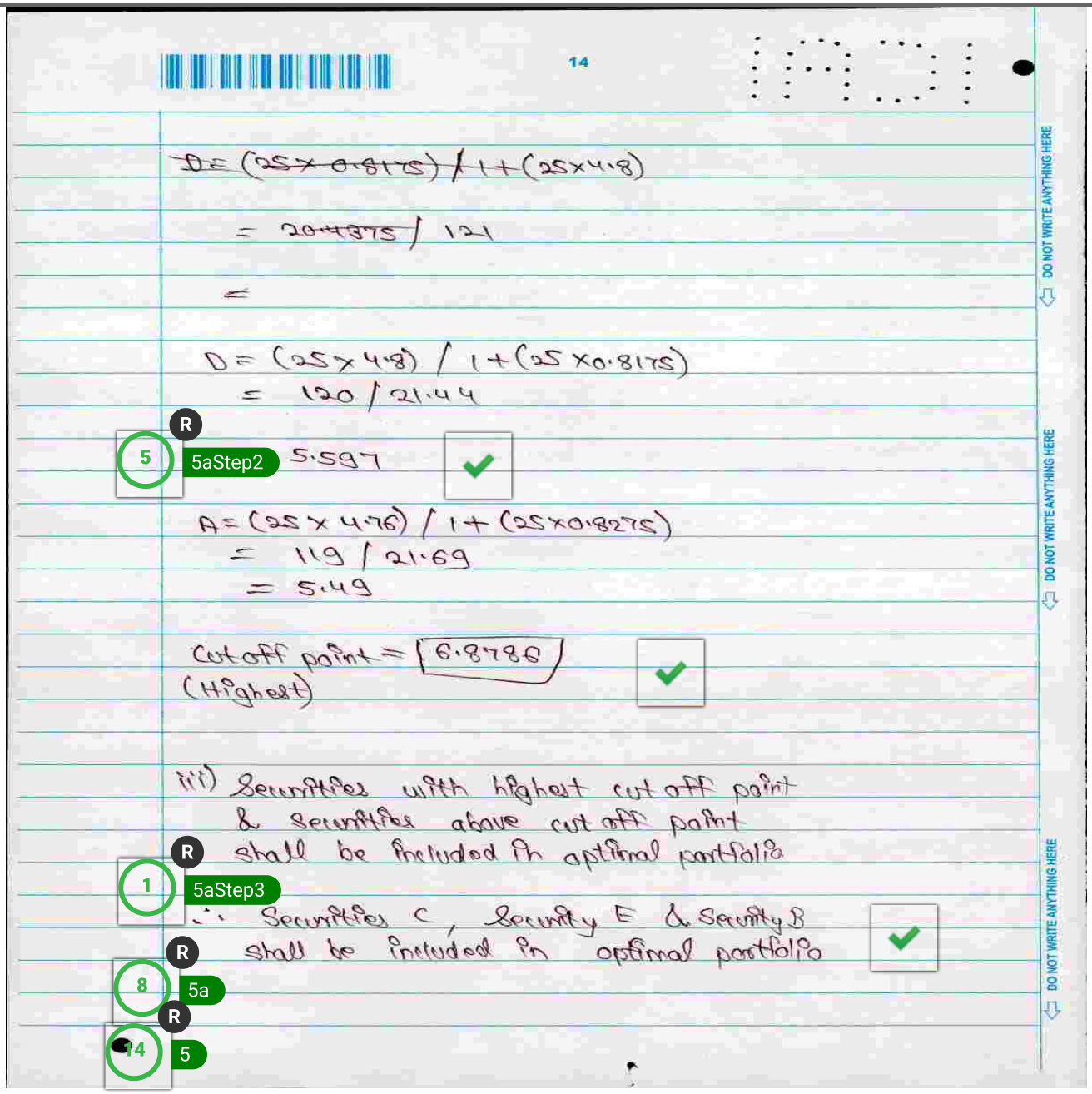
Security ①	β^2/USR ②	Cummulative ③	② × Treynor ratio	Cummulative
C	0.1	0.1	0.8	0.8
E	0.18	0.28	1.30	2.1
B	0.3125	0.5925	2.25	4.35
D	0.225	0.8175	0.45	4.8
A	0.01	0.8275	-0.04	4.76

$$\text{Cutoff point} = \frac{\text{Variance of market} \times \frac{\beta^2}{USR} \times \text{Treynor ratio cummulative}}{1 + \text{Variance of market} \times \frac{\beta^2}{USR} \text{ cummulative}}$$

C = (25×0.8) / 1+(25×0.1) = 20/3.5 = 5.7143

E = (25×2.1) / 1+(25×0.28) = 52.5/8 = 6.5625

B = (25×4.35) / 1+(25×0.5925) = 108.75/15.81 = 6.8788



14

~~D= (25 × 0.8175) / 1 + (25 × 4.8)~~

~~= 20.4375 / 121~~

=

D = (25 × 4.8) / 1 + (25 × 0.8175)

= 120 / 21.44

R 5 5aStep2 5.597

A = (25 × 4.76) / 1 + (25 × 0.8275)

= 119 / 21.69

= 5.49

Cut off point = 6.8788 (Highest)

(ii) Securities with highest cut off point & securities above cut off point shall be included in optimal portfolio

R 1 5aStep3

∴ Securities C, Security E & Security B shall be included in optimal portfolio

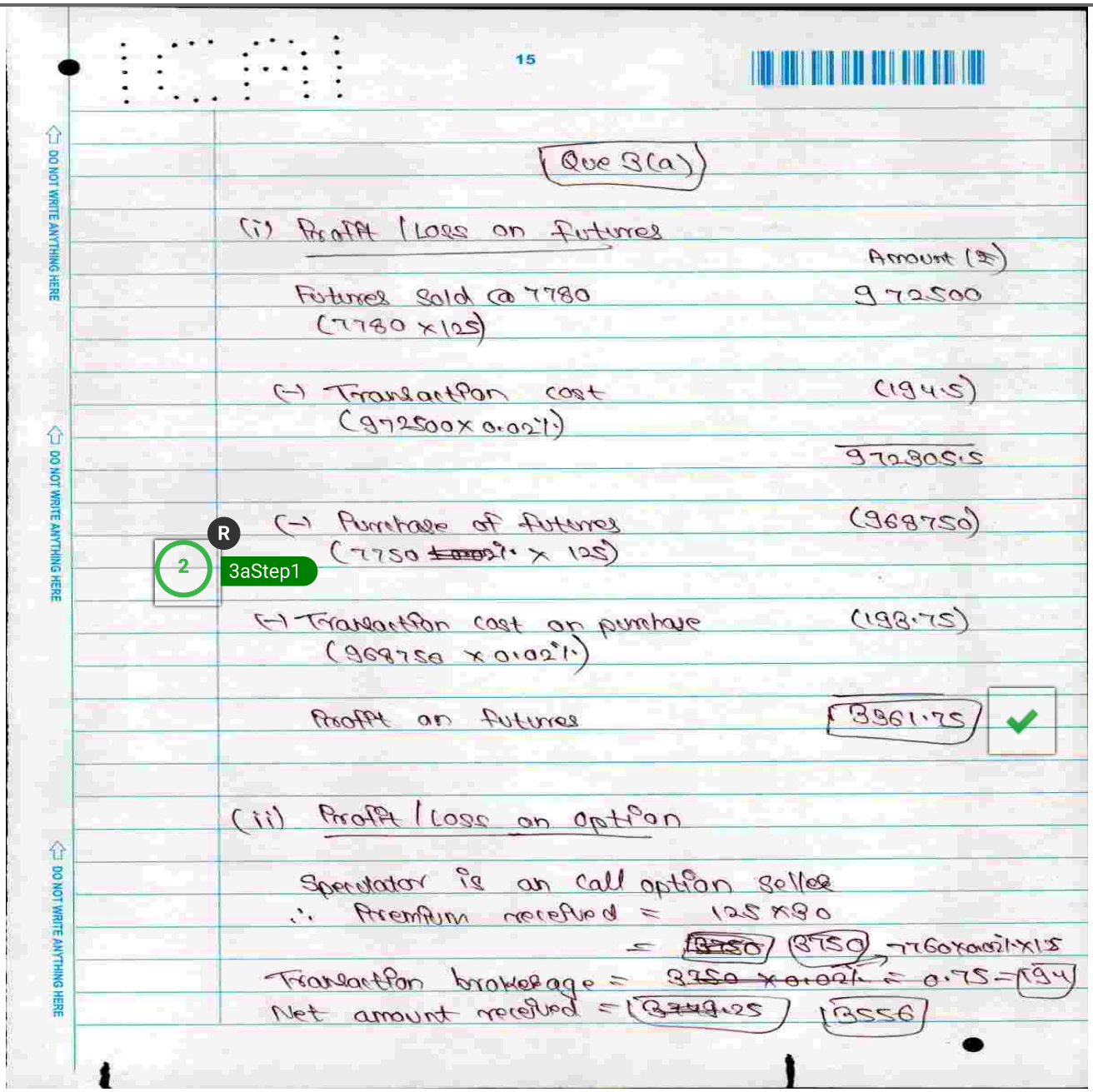
R 8 5a

R 14 5

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15

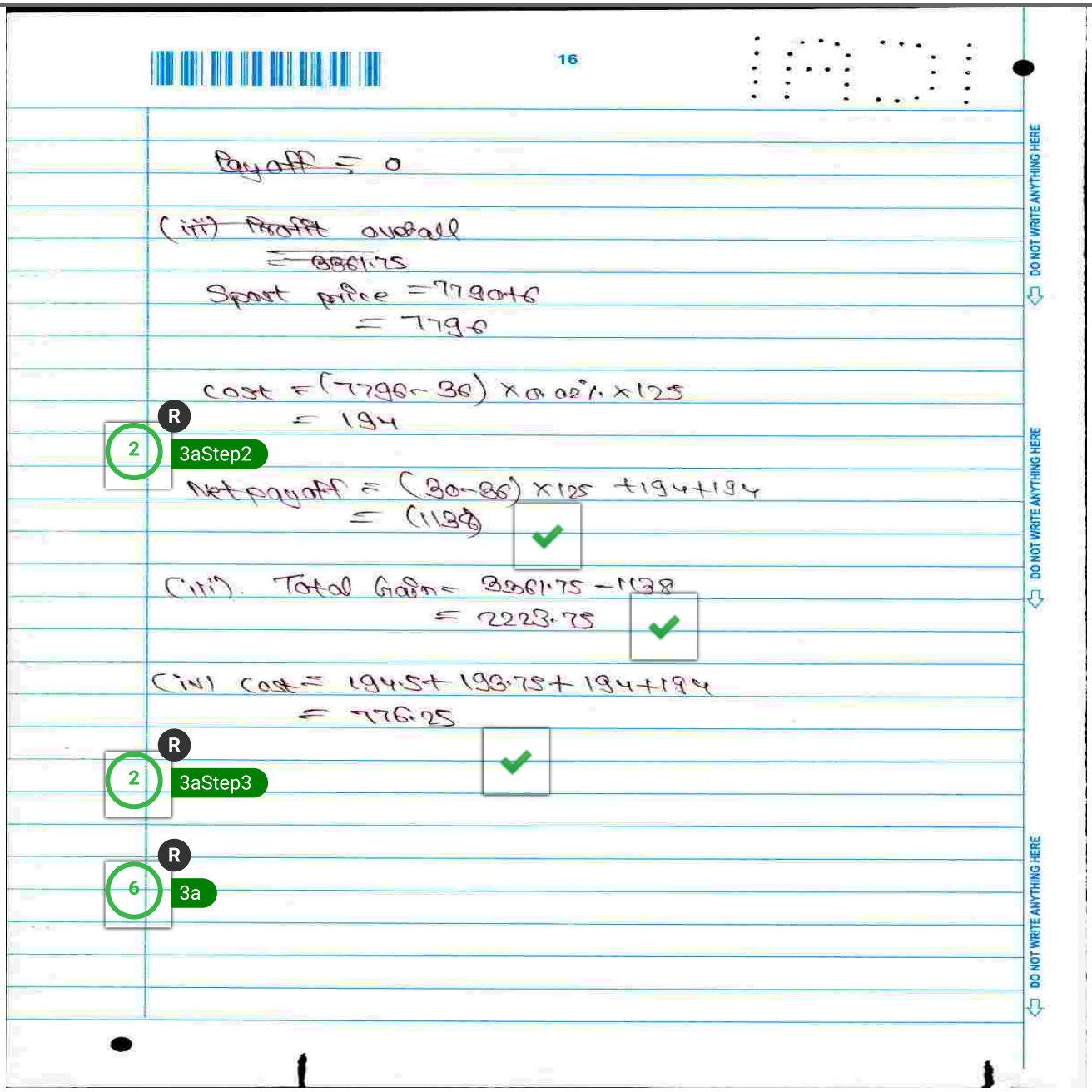
Que 3(a)

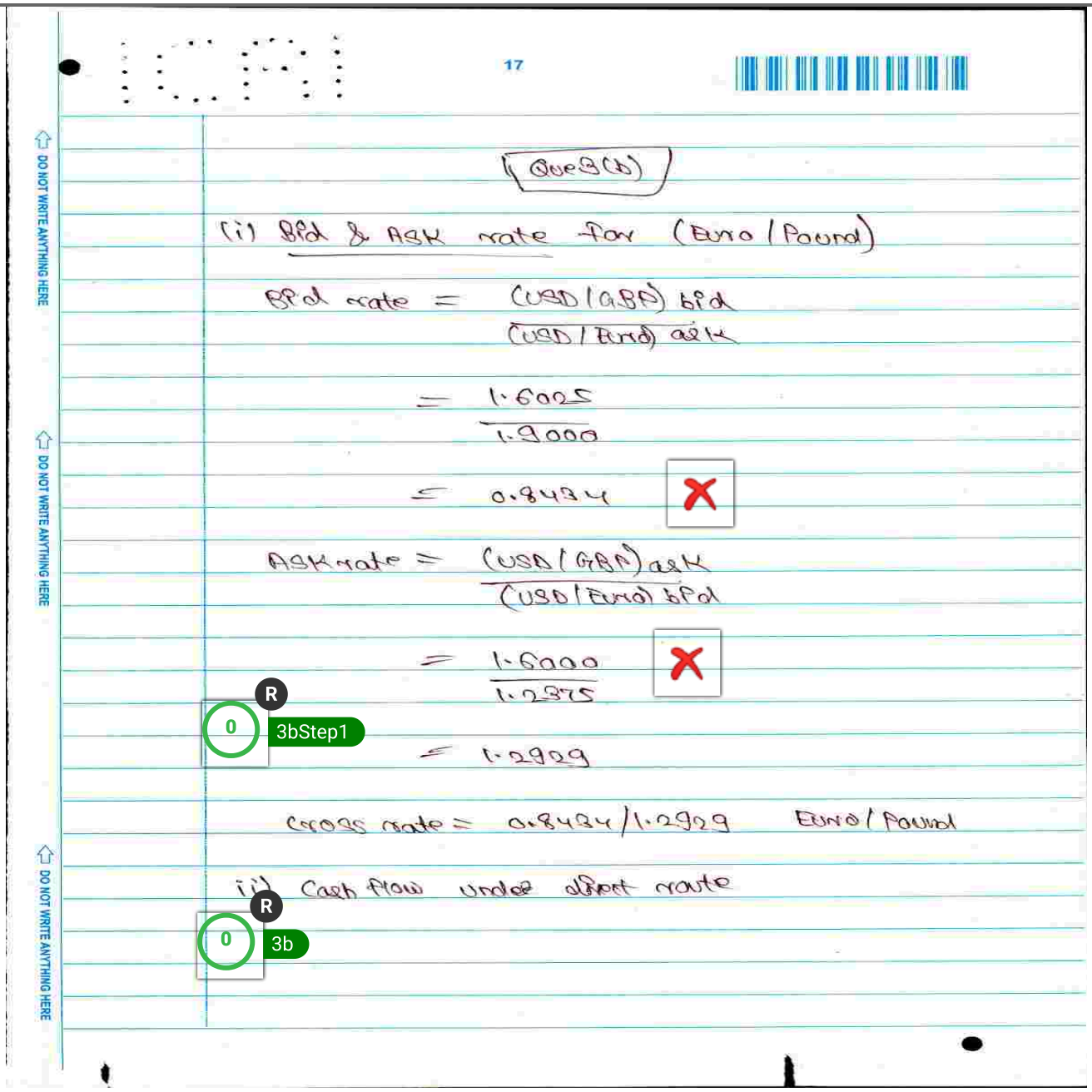
(i) Profit / Loss on futures

	Amount (₹)
Futures sold @ 7780 (7780 × 125)	972500
(–) Transaction cost (972500 × 0.02%)	(194.5)
	972305.5
(–) Purchase of futures (7750 ~~1000~~% × 125)	(968750)
(–) Transaction cost on purchase (968750 × 0.02%)	(193.75)
Profit on futures	3361.75

(ii) Profit / Loss on option

Speculator is an call option seller
∴ Premium received = 125 × 80
= ~~8750~~ 9750 7760×80×1%×125
Transaction brokerage = ~~3750 × 0.02%~~ = 0.75 = 194
Net amount received = ~~3749.25~~ 3556


16
Payoff = 0
(iii) Profit overall
= 3961.75
Spot price = 7790+6
= 7796
cost = (7796 - 36) × 0.02% × 125
= 194
Net payoff = (30-36) × 125 + 194 + 194
= (1138)
(iii). Total Gain = 3961.75 - 1138
= 2223.75
(iv) cost = 194.5 + 193.75 + 194 + 194
= 776.25
R
2
3aStep2
R
2
3aStep3
R
6
3a
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DO NOT WRITE ANYTHING HERE
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17

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Que 3(b)

(i) Bid & Ask rate for (Euro / Pound)

Bid rate = (USD/GBP) bid / (USD/Euro) ask

= 1.6025 / 1.9000

= 0.8434 ✗

Ask rate = (USD/GBP) ask / (USD/Euro) bid

= 1.6000 / 1.2975 ✗

R 0 3bStep1

= 1.2929

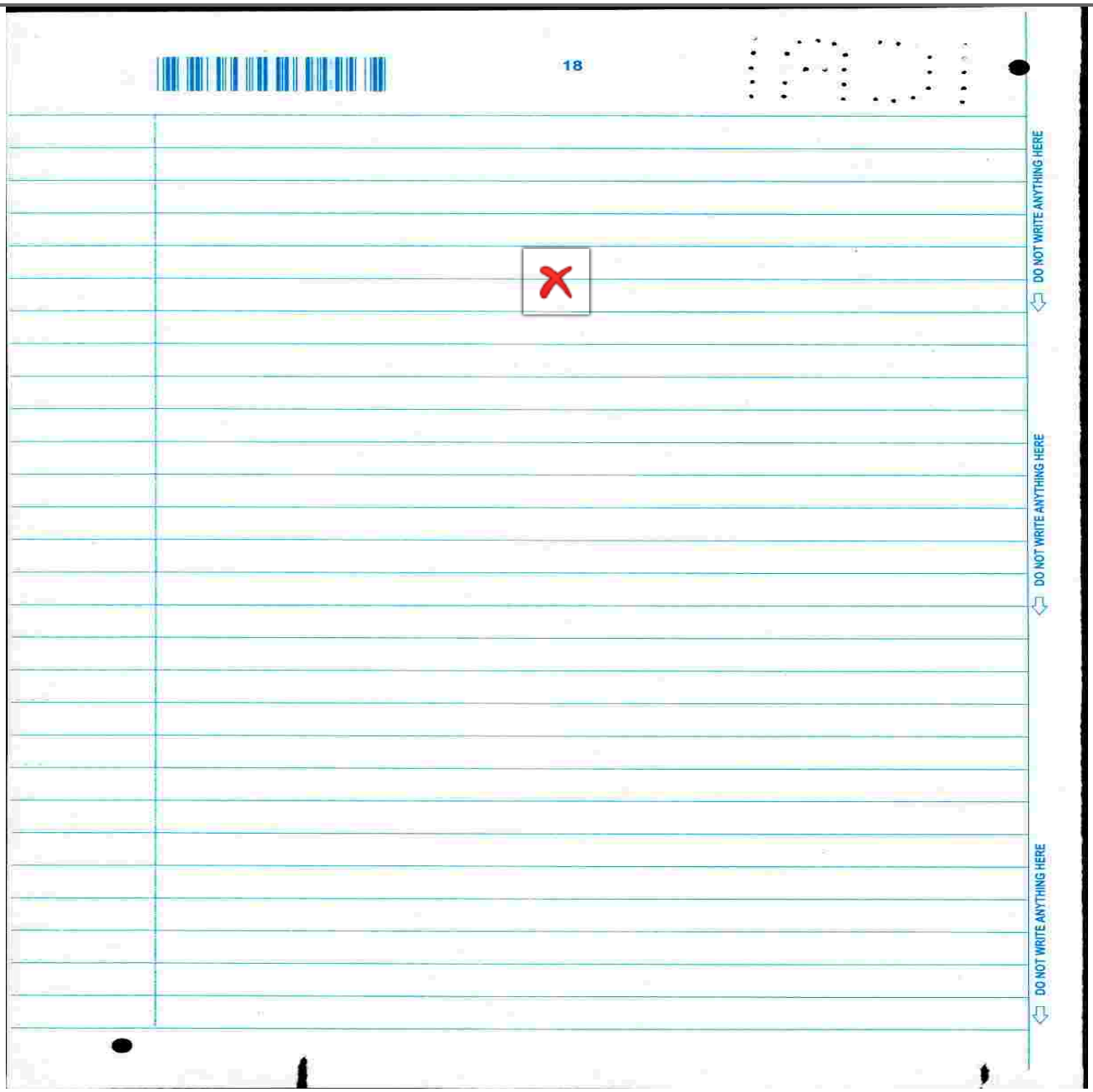
Cross rate = 0.8434 / 1.2929 Euro / Pound

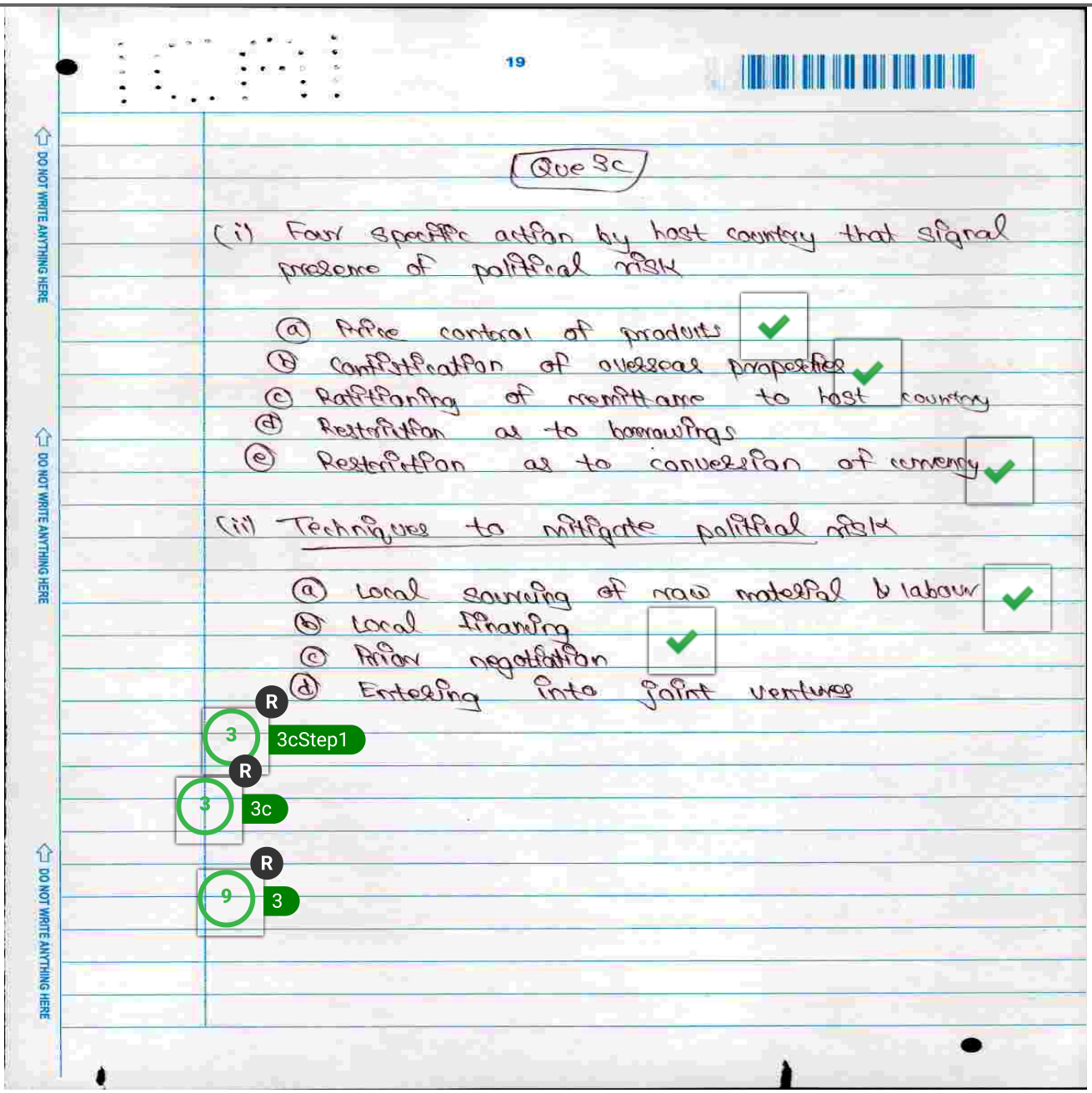
(ii) Cash flow under short route

R 0 3b

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19

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Que 3c

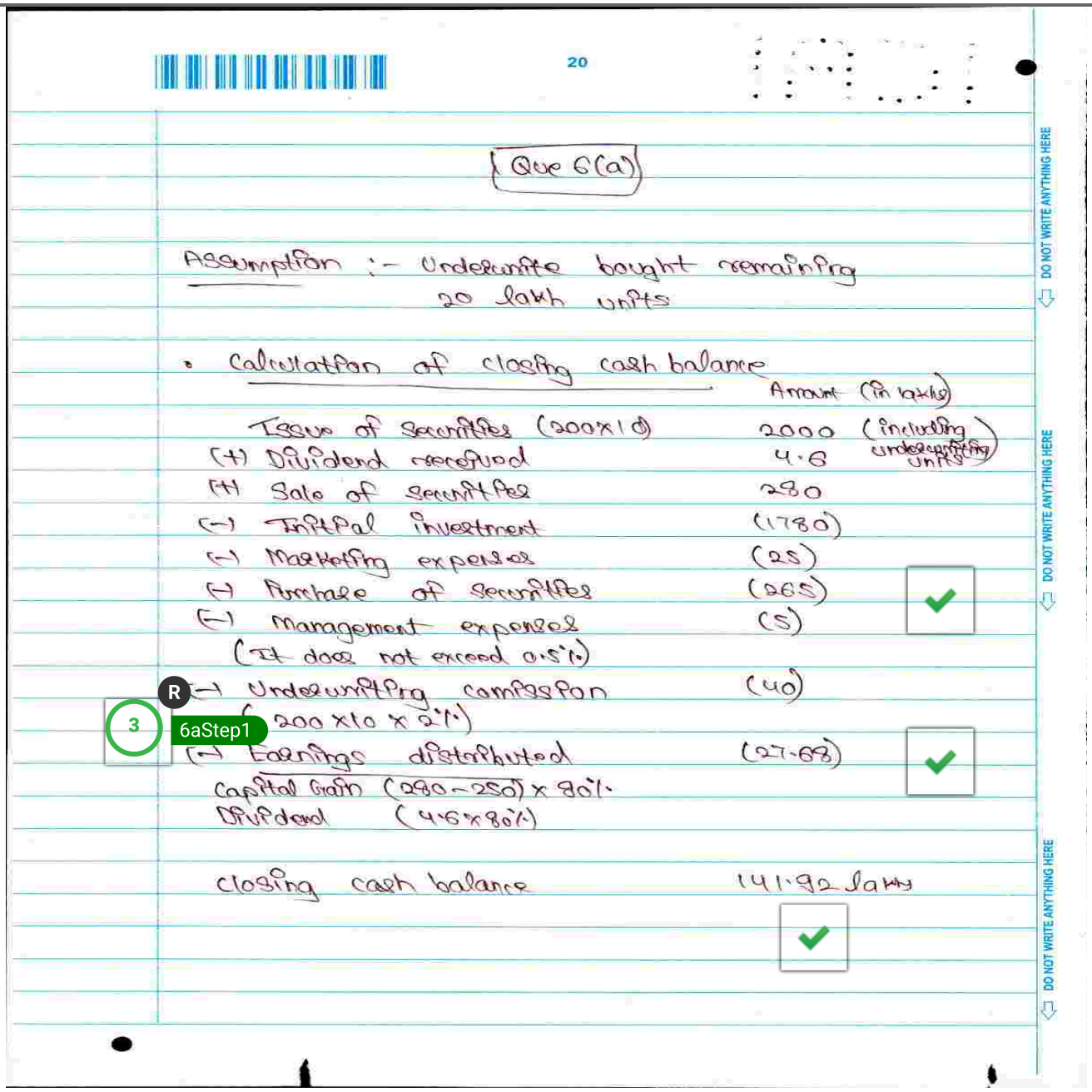
(i) Four specific action by host country that signal presence of political risk

(a) Price control of products
(b) Confiscation of overseas properties
(c) Ratification of remittance to host country
(d) Restriction as to borrowings
(e) Restriction as to conversion of currency

(ii) Techniques to mitigate political risk

(a) Local sourcing of raw material & labour
(b) Local financing
(c) Prior negotiation
(d) Entering into joint ventures

R 3 3cStep1
R 3 3c
R 9 3



20

Que 6(a)

Assumption :- Underwrite bought remaining 20 lakh units

- Calculation of closing cash balance

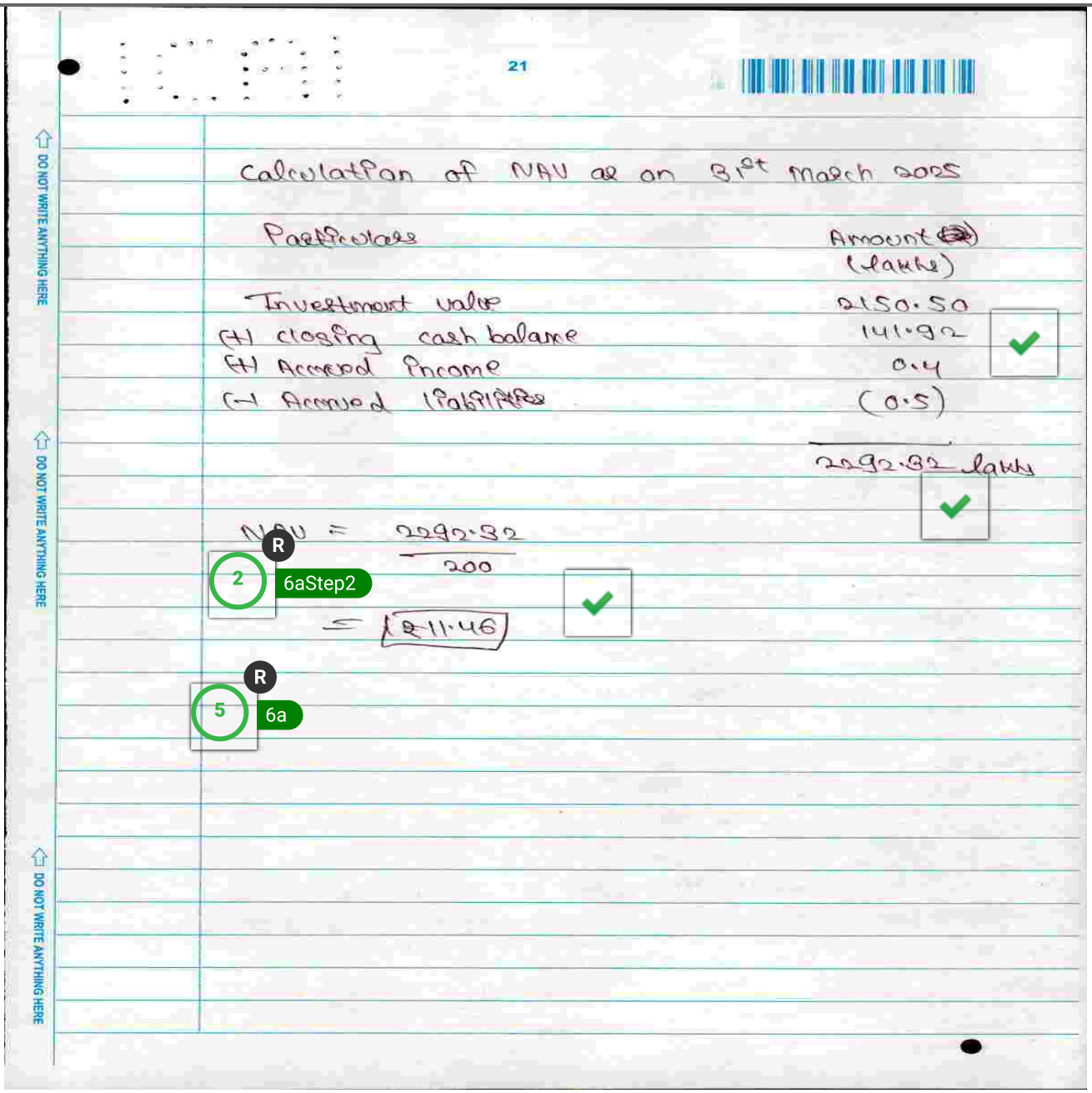
		Amount (in lakhs)
	Issue of securities (200×10)	2000 (including underwriting units)
(+)	Dividend received	4.6
(+)	Sale of securities	280
(−)	Initial investment	(1780)
(−)	Marketing expenses	(25)
(−)	Purchase of securities	(265)
(−)	Management expenses (It does not exceed 0.5%)	(5)
(−)	Underwriting commission (200×10×2%)	(40)
(−)	Earnings distributed	(27.68)
	Capital Gain (280−250)×80%	
	Dividend (4.6×80%)	
	closing cash balance	141.92 lakhs

R 3 6aStep1

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21

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Calculation of NAV as on 31st March 2025

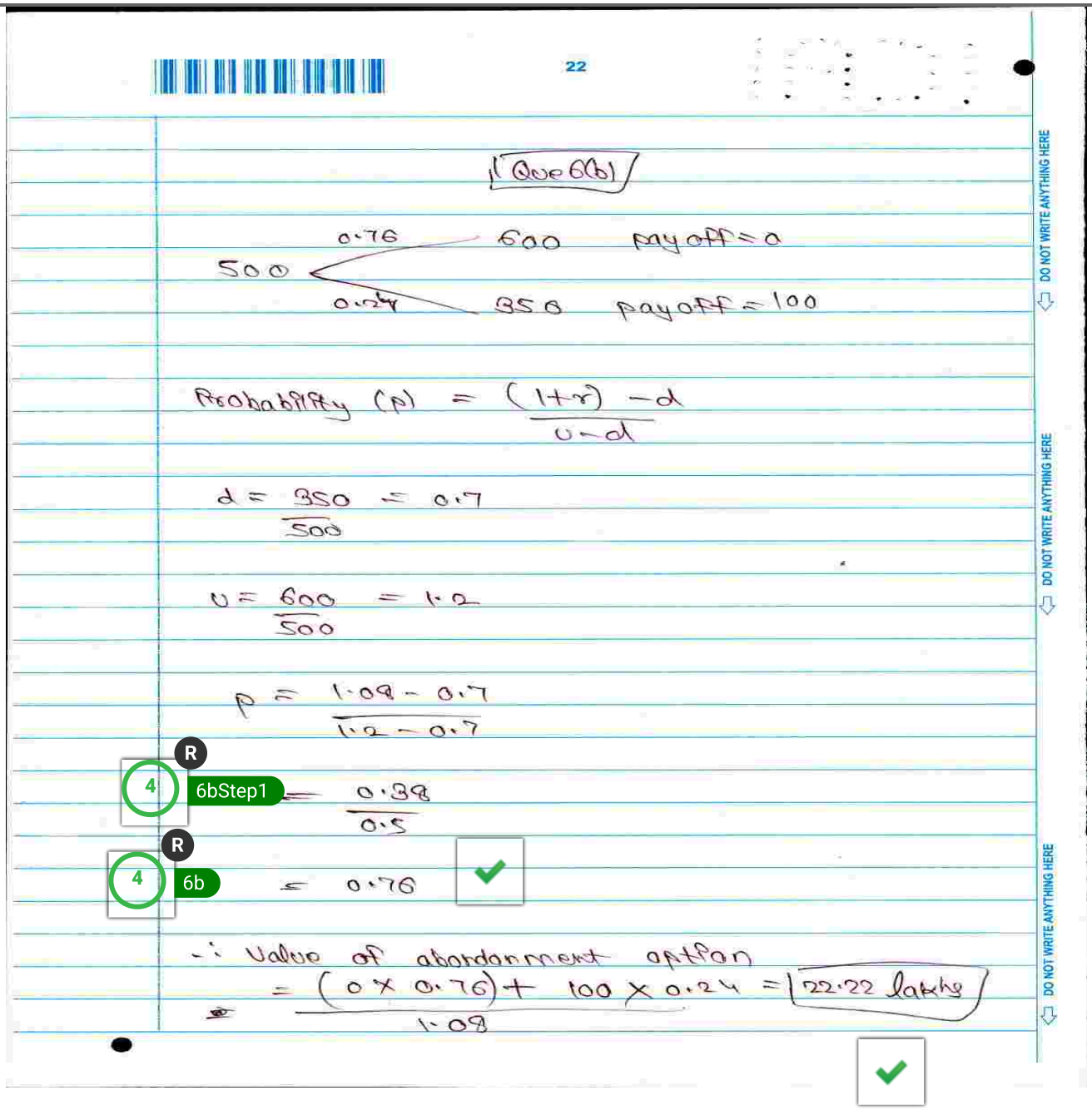
Particulars	Amount (₹) (lakhs)
Investment value	2150.50
(+) closing cash balance	141.92
(+) Accrued Income	0.4
(-) Accrued Liabilities	(0.5)
	2292.32 lakhs

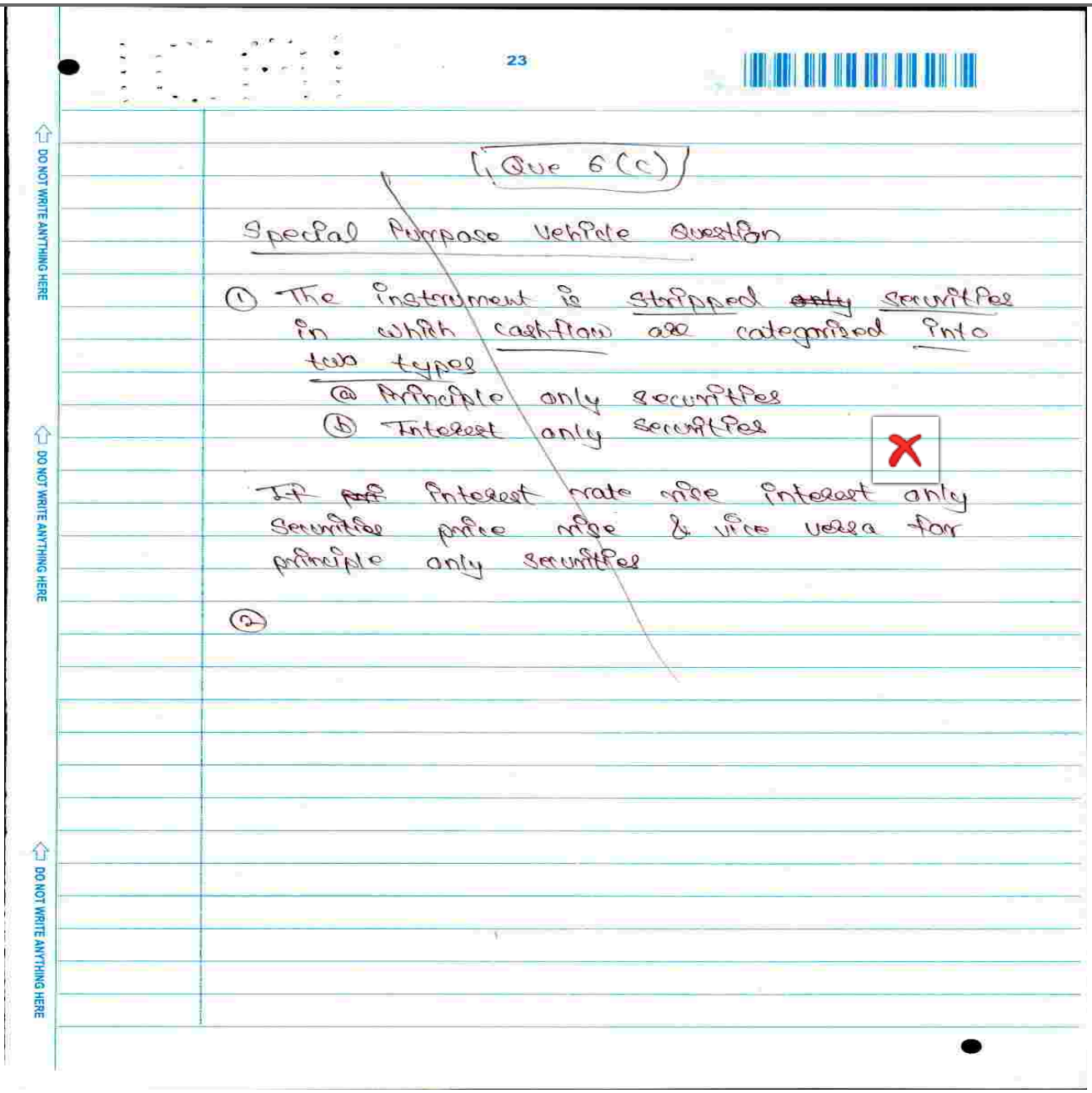
NAV = 2292.32 / 200

= ₹11.46

R 2 6aStep2

R 5 6a


22
Que 6(b)
0.76
600
payoff = 0
500
0.24
350
payoff = 100
Probability (p) = (1+r) − d / u − d
d = 350/500 = 0.7
u = 600/500 = 1.2
p = 1.08 − 0.7 / 1.2 − 0.7
6bStep1 = 0.38/0.5
6b = 0.76
∴ Value of abandonment option
= (0 × 0.76) + 100 × 0.24 / 1.08 = 22.22 lakhs
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DO NOT WRITE ANYTHING HERE



23

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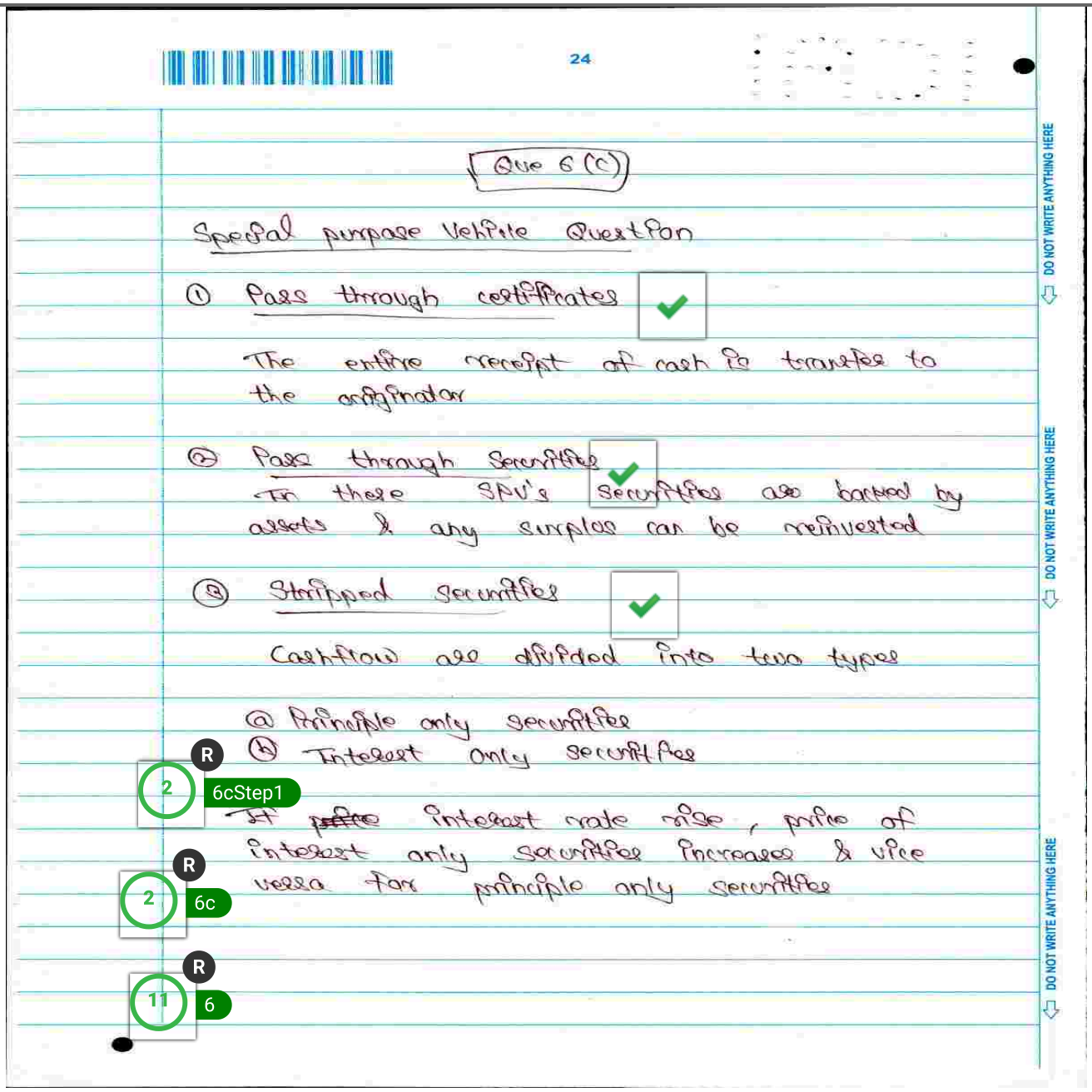
Que 6(c)

Special Purpose Vehicle Question

① The instrument is Stripped ~~only~~ securities in which cashflow are categorised into two types
- (a) Principle only securities
- (b) Interest only securities

If ~~PP~~ Interest rate rise interest only Securities price rise & vice versa for principle only securities

②



24

Que 6 (c)

Special purpose Vehicle Question

① Pass through certificates ✔

The entire receipt of cash is transfer to the originator

② Pass through Securities ✔

In these SPV's securities are backed by assets & any surplus can be reinvested

③ Stripped securities ✔

Cashflow are divided into two types

ⓐ Principle only securities
ⓑ Interest only securities

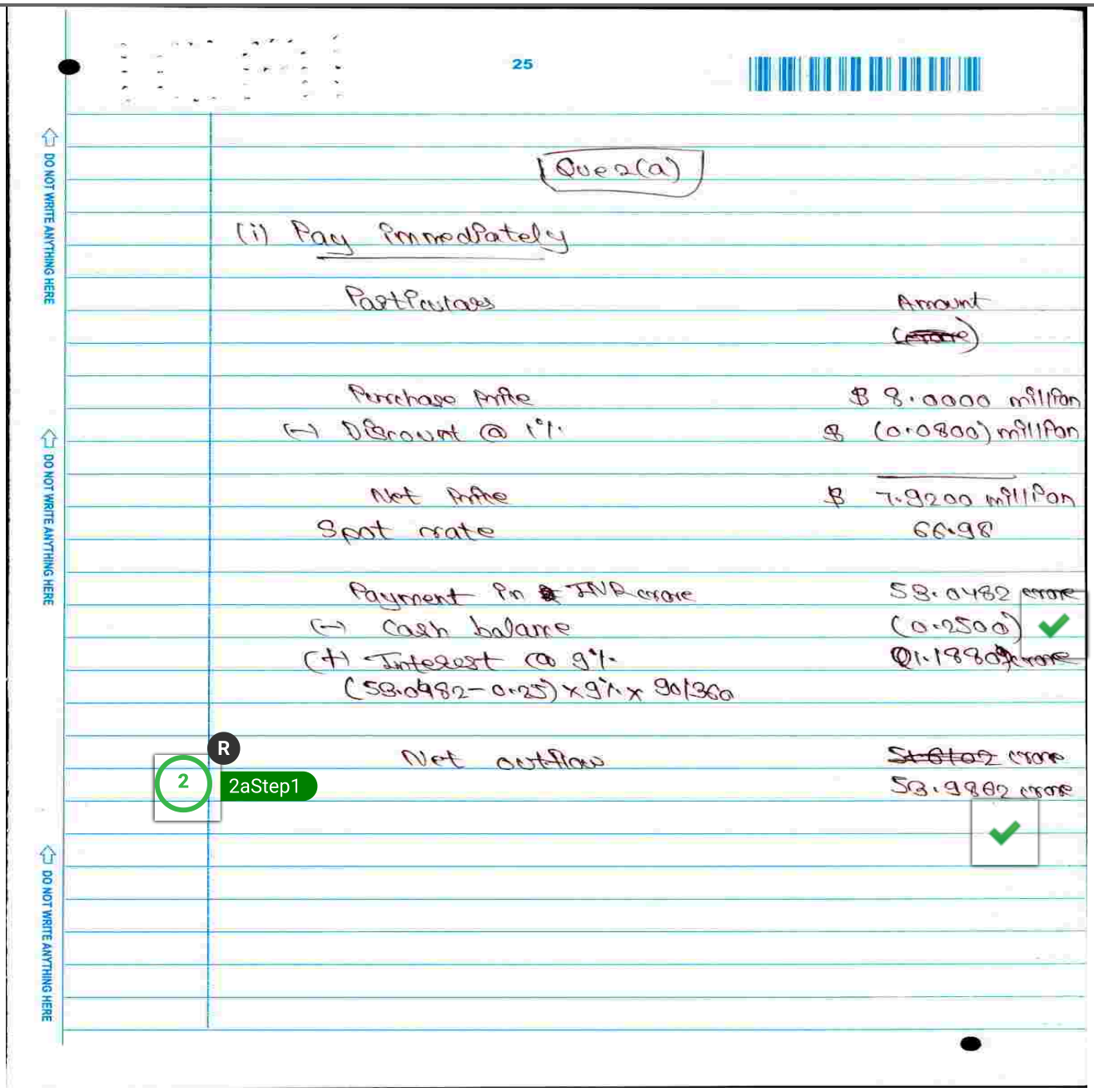
R 2 6cStep1

If ~~price~~ interest rate rise, price of interest only securities increases & vice versa for principle only securities

R 2 6c

R 11 6

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25

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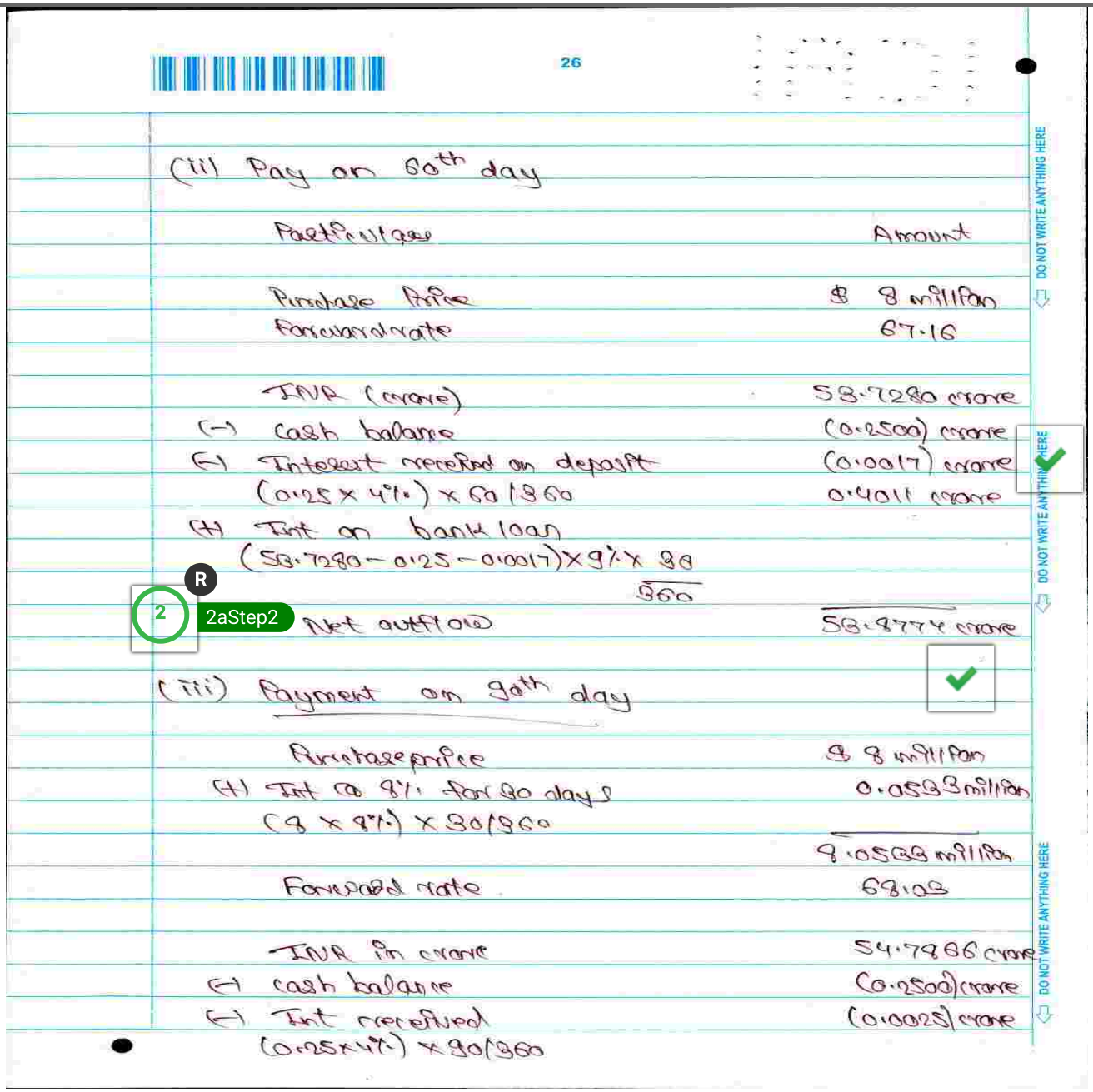
Que 2(a)

(i) Pay immediately

Particulars	Amount (~~crore~~)
Purchase Price	$ 8.0000 million
(–) Discount @ 1%	$ (0.0800) million
Net Price	$ 7.9200 million
Spot rate	66.98
Payment in $ INR crore	53.0482 ~~crore~~
(–) Cash balance	(0.2500)
(+) Interest @ 9% (53.0482 – 0.25) × 9% × 90/360	01.1880 ~~crore~~
Net outflow	~~53.6102~~ crore 53.9882 crore

R

2 2aStep1



26

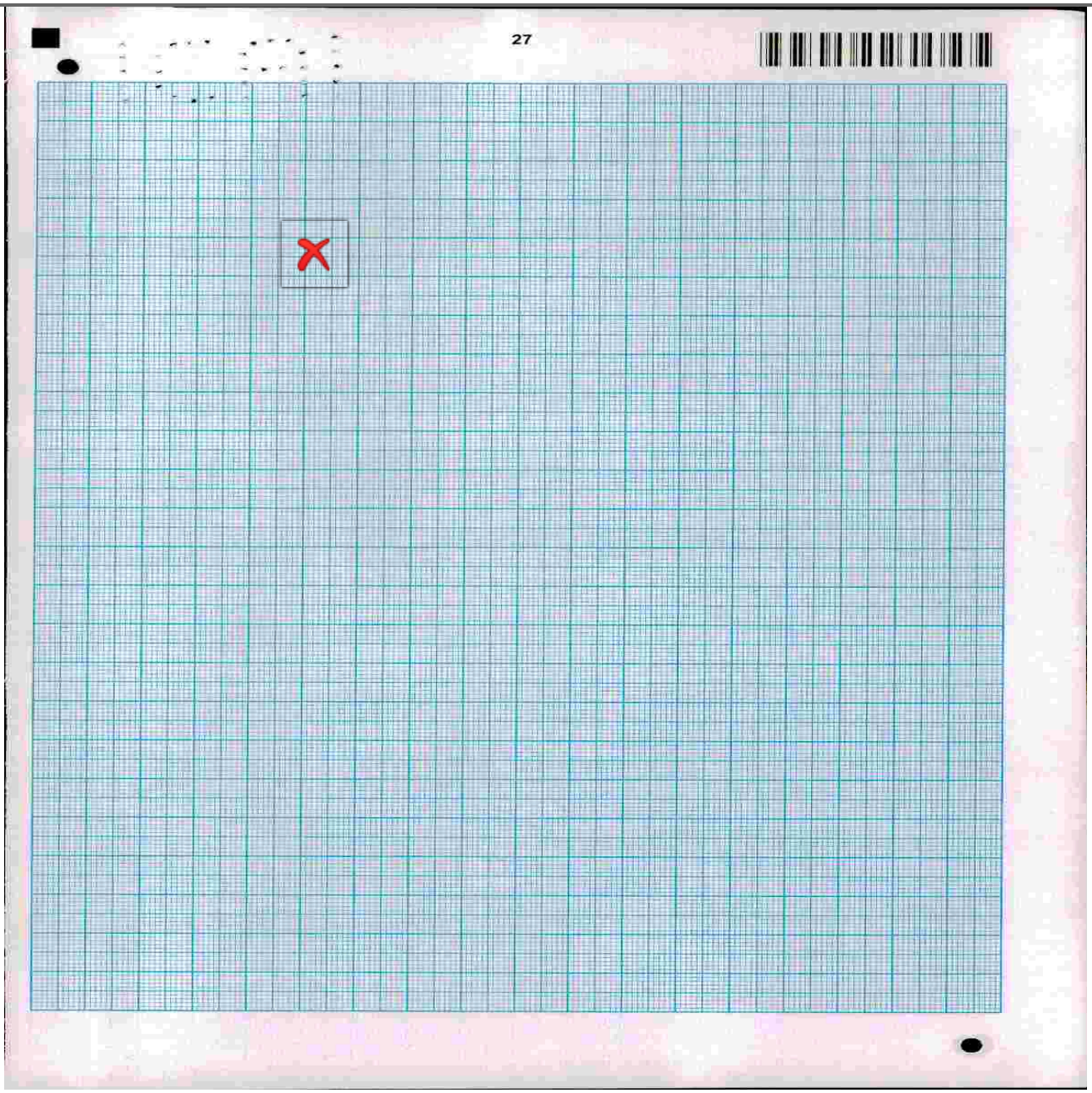
(ii) Pay on 60th day

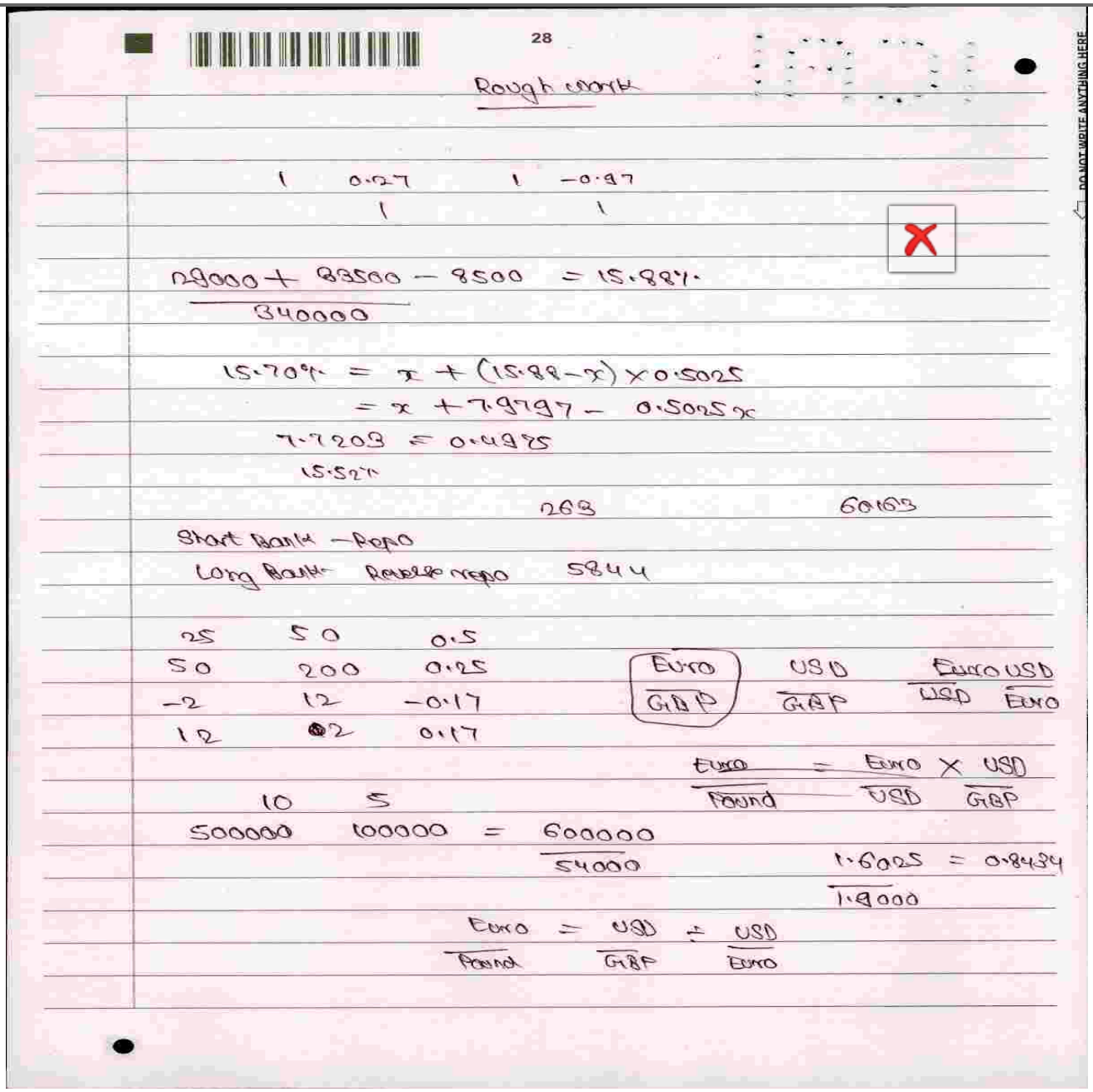
Particulars	Amount
Purchase Price	$ 8 million
Forward rate	67.16
INR (crore)	53.7280 crore
(-) cash balance	(0.2500) crore
(-) Interest received on deposit (0.25 × 4%) × 60/360	(0.0017) crore
(+) Int on bank loan (53.7280 − 0.25 − 0.0017) × 9% × 90/360	0.4011 crore
Net outflow	53.8774 crore

(iii) Payment on 90th day

Purchase price	$ 8 million
(+) Int @ 8% for 30 days (8 × 8%) × 30/360	0.0533 million
	8.0533 million
Forward rate	68.03
INR in crore	54.7866 crore
(-) cash balance	(0.2500) crore
(-) Int received (0.25×4%) × 30/360	(0.0025) crore

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28

Rough work

1 0.27 1 −0.97
1 1

29000 + 83500 − 8500 = 15.88%
340000

15.70% = x + (15.88 − x) × 0.5025
= x + 7.9797 − 0.5025x
7.7203 = 0.4975
15.52%

263 60163

Short Bank – Repo
Long Bank Reverse repo 5844

25 50 0.5
50 200 0.25
−2 12 −0.17
12 72 0.17

Euro/GBP USD/GBP Euro/USD USD/Euro

Euro/Pound = Euro/USD × USD/GBP

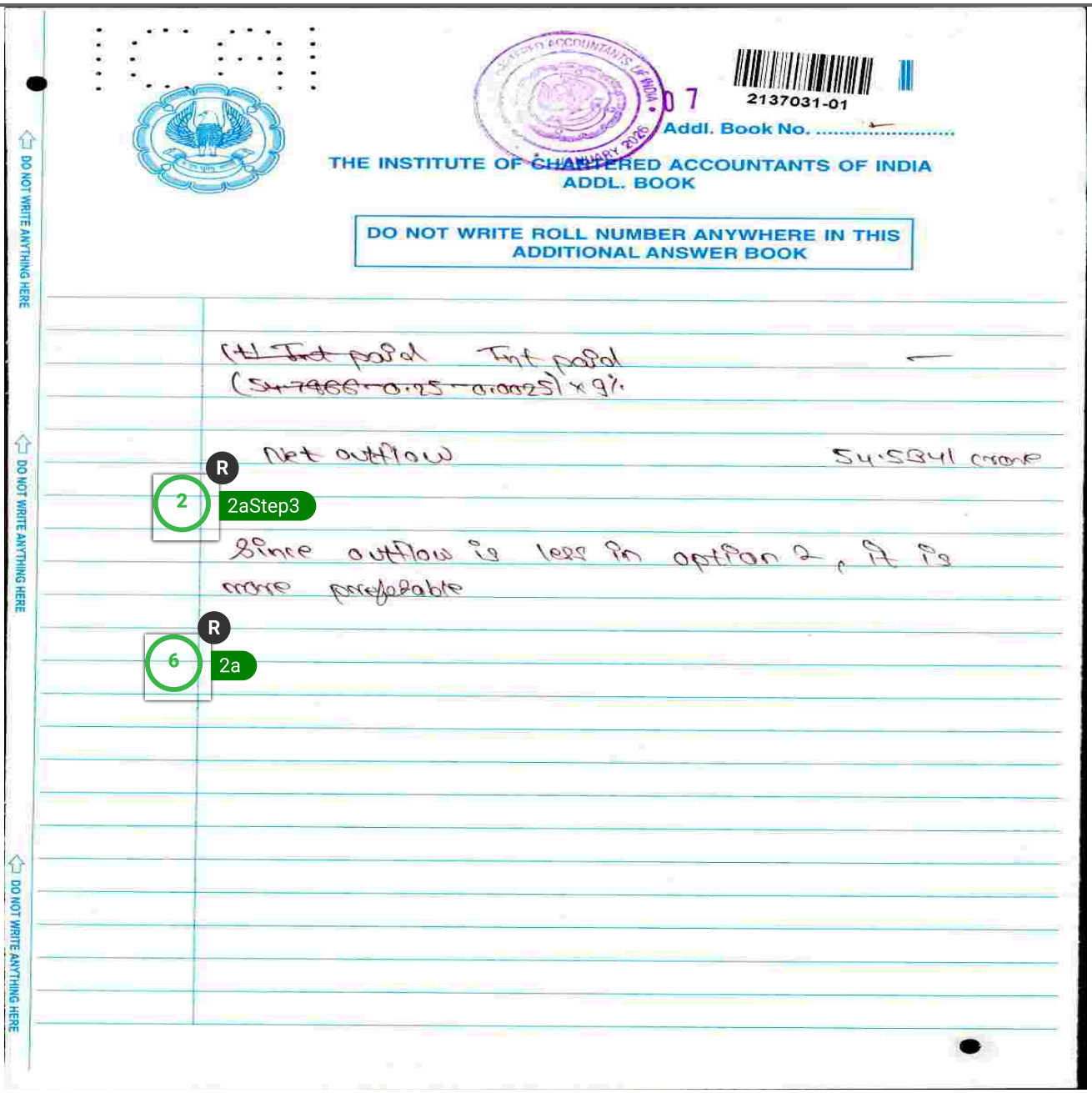
10 5
500000 100000 = 600000/54000

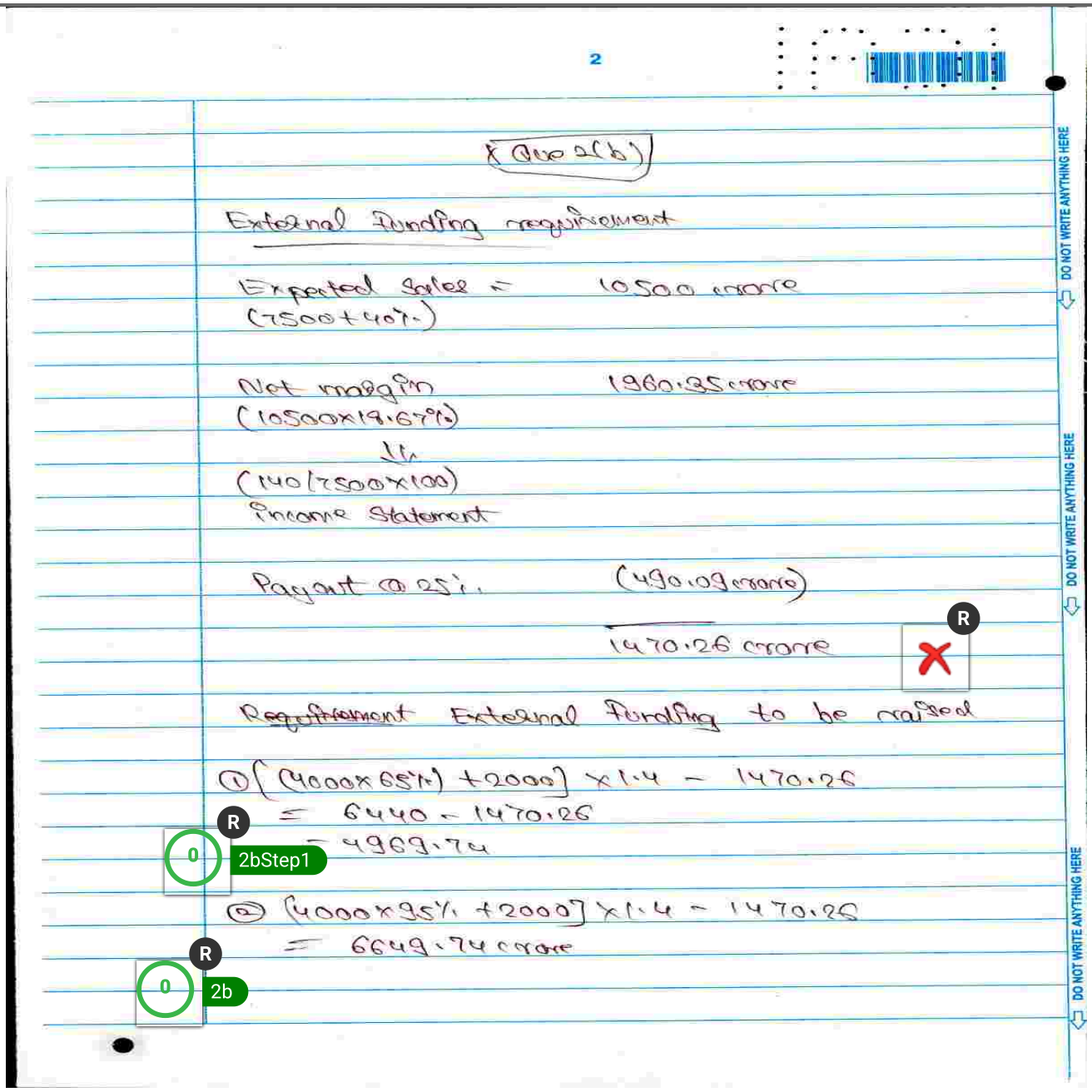
1.6025 = 0.8434
1.9000

Euro/Pound = USD/GBP ÷ USD/Euro

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Code:	**FN2AF137031**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**54**





2

Ans Que 2(b)

External Funding requirement

Expected Sales = 10500 crore
(7500 + 40%)

Net margin 1960.35 crore
(10500 × 18.67%)
or
(140/7500 × 100)
Income Statement

Payout @ 25%. (490.09 crore)

1470.26 crore

Requirement External funding to be raised

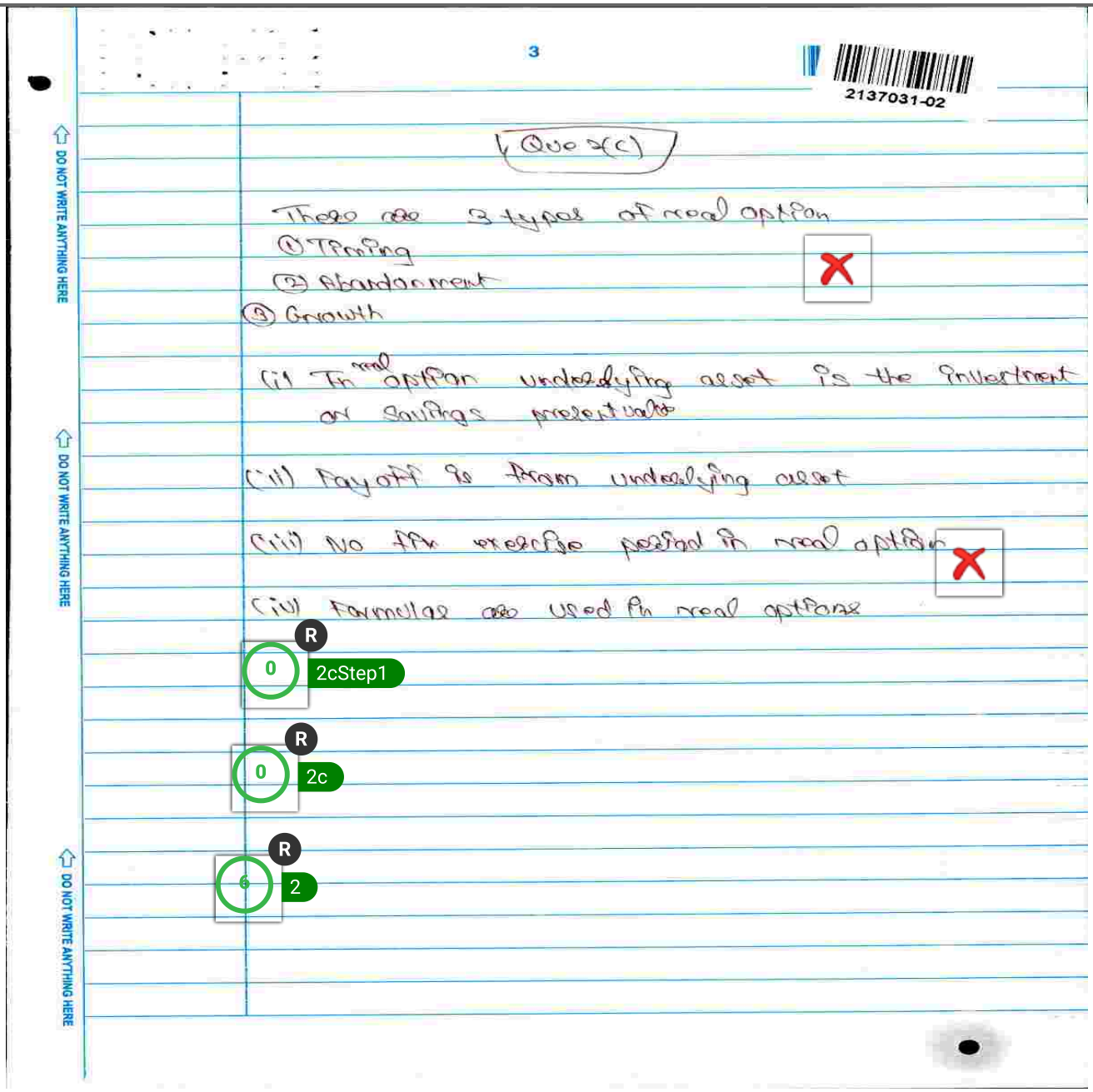
① [(4000 × 65%) + 2000] × 1.4 − 1470.26
= 6440 − 1470.26
= 4969.74

② [4000 × 95% + 2000] × 1.4 − 1470.25
= 6649.74 crore

DO NOT WRITE ANYTHING HERE

R
0 2bStep1

R
0 2b


3
2137031-02
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
Ques 2(c)
There are 3 types of real option
① Timing
② Abandonment
③ Growth
(i) The real option underlying asset is the investment or savings present value
(ii) Payoff is from underlying asset
(iii) No fix exercise period in real option
(iv) Formulae are used in real options
R
0
2cStep1
R
0
2c
R
6
2

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